No prior violation

Specification	Audit failure	Restatement	Violation
A. Annual panel: separate history			
Current auditor	0.006	0.006	0.004
	(0.005)	(0.004)	(0.004)
Observations	31,619	32,019	31,619
R-squared	0.2527	0.2514	0.2431
Outcome mean	0.040	0.025	0.023
B. Annual panel: joint histories			
Current auditor	0.006	0.006	0.004
	(0.005)	(0.004)	(0.004)
Observations	31,619	32,019	31,619
R-squared	0.2527	0.2514	0.2432
Outcome mean	0.040	0.025	0.023
C. New match: first 1 fiscal year(s)			
Successor auditor	0.004	0.002	0.001
	(0.007)	(0.006)	(0.004)
Predecessor auditor	-0.008	-0.003	-0.005
	(0.007)	(0.004)	(0.005)
Observations	7,239	7,347	7,239
R-squared	0.0363	0.0364	0.0257
Outcome mean	0.042	0.030	0.023
D. New match: first 2 fiscal year(s)			
Successor auditor	0.004	-0.001	0.007
	(0.010)	(0.010)	(0.005)
Predecessor auditor	-0.006	-0.001	-0.006
	(0.009)	(0.006)	(0.007)
Observations	6,554	6,702	6,554
R-squared	0.0429	0.0529	0.0303
Outcome mean	0.063	0.046	0.033
E. New match: first 3 fiscal year(s)			
Successor auditor	0.006	0.000	0.005
	(0.011)	(0.011)	(0.005)
Predecessor auditor	-0.004	0.000	-0.003
	(0.011)	(0.010)	(0.007)
Observations	5,851	6,042	5,851
R-squared	0.0483	0.0603	0.0346
Outcome mean	0.083	0.061	0.047

Notes: Histories exclude the focal client and use disclosures available before January 1 of the observation year. At least three prior reports and two prior years are required; missing history is not coded as clean. Annual models include client, audit firm and year fixed effects; standard errors are clustered by client. New-match models include audit firm and event-year fixed effects; standard errors are clustered by audit firm. All models include client and historical exposure controls; event models also control for predecessor exposure. Event outcomes equal any failure in the complete follow-up window starting in the matching year. Each fiscal year has a three-year disclosure window. Samples can differ across histories and horizons. *** $p<0.01$, ** $p<0.05$, * $p<0.1$.